FINANCIAL MODELLING PROJECT

DMart

Avenue Supermarts Ltd.

Financial Analysis & Valuation

Company Overview · 3-Statement Model · DCF · Relative Valuation · Risk (VaR) · Future Outlook

COMPANY	Avenue Supermarts Ltd. (NSE: DMART)
PERIOD ANALYSED	FY2020–FY2026 (Historical) | FY2027–FY2029 (Forecast)

Built on a self-constructed 3-statement, DCF and relative valuation model.

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01 Company Overview

Avenue Supermarts Ltd. (DMart)

WHO IS DMART?

Avenue Supermarts Ltd., operating under the brand DMart, is one of India's largest value-retail supermarket chains, listed on the NSE. It sells food, general merchandise and non-food/FMCG products through a growing network of stores across India, built on a philosophy of everyday-low-price retailing rather than promotion-driven discounting.

Everyday Low Cost → **Everyday Low Price** → **Customer Value**

Supported by competitive procurement, operational efficiency and cost-effective distribution.

REVENUE MIX

57%	23%	20%
Food	General Merchandise	Non-Food / FMCG

STORE NETWORK & GROWTH STRATEGY

- Store count: 264 → 442 stores, with expansion concentrated in markets DMart already serves.
- Growth strategy is cluster-based — building density in existing markets rather than entering new geographies.
- DMart Ready (online) extends the model to 11 cities, focused on larger baskets and delivery within 6 hours.

COMPETITIVE ADVANTAGE

- Procurement scale that lowers the landed cost of goods.
- Operational efficiency across store formats.
- Cost-effective distribution feeding a dense, cluster-based store network.

02 3-Statement Model

Income Statement

DMart	Historical Financial Statement-AVENUE SUPERMARTS LTD							
Years	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26 LTM	
# **Income Statements**								
Sales	24,870.20	24,143.06	30,976.27	42,839.56	50,788.83	59,358.05	68,820.74	0.00
Sales Growth	-	*-2.92%*	*28.30%*	*38.30%*	*18.56%*	*16.87%*	*15.94%*	
COGS	22,582.51	22,187.09	28,236.32	38,877.91	46,258.97	54,366.52	60,001.21	65,868.68
COGS % Sales	*90.80%*	*91.90%*	*91.15%*	*90.75%*	*91.08%*	*91.59%*	*87.18%*	
Gross Profit	**2,287.69**	**1,955.97**	**2,739.95**	**3,961.65**	**4,529.86**	**4,991.53**	**8,819.53**	**(65,868.68)**
Gross Margin	*9.20%*	*8.10%*	*8.85%*	*9.25%*	*8.92%*	*8.41%*	*12.82%*	*0.00%*
Selling & General Expenses	347.62	385.34	445.46	637.50	800.81	944.77	3,632.94	
S&G Exp.	*1.40%*	*1.60%*	*1.44%*	*1.49%*	*1.58%*	*1.59%*	*5.28%*	
EBITDA	**1,940.07**	**1,570.63**	**2,294.49**	**3,324.15**	**3,729.05**	**4,046.76**	**5,186.59**	**5,386.89**
EBITDA Margin	*7.80%*	*6.51%*	*7.41%*	*7.76%*	*7.34%*	*6.82%*	*7.54%*	
Interest	69.12	41.65	53.79	67.41	58.13	69.45	142.05	167.03
Interest % Sales	*0.28%*	*0.17%*	*0.17%*	*0.16%*	*0.11%*	*0.12%*	*0.21%*	*0.00%*
Depreciation	374.41	414.16	498.08	638.87	730.76	869.52	1,037.02	1,093.02
Depreciation % Sales	*1.51%*	*1.72%*	*1.61%*	*1.49%*	*1.44%*	*1.46%*	*1.51%*	*0.00%*
EBT	**1,496.54**	**1,114.82**	**1,742.62**	**2,617.87**	**2,940.16**	**3,107.79**	**4,007.52**	**4,126.84**
EBT % Sales	*6.02%*	*4.62%*	*5.63%*	*6.11%*	*5.79%*	*5.24%*	*5.82%*	*0.00%*
Tax	443.69	383.96	571.57	681.58	925.16	964.65	1,111.13	0.00
Effective Tax Rate	*29.65%*	*34.44%*	*32.80%*	*26.04%*	*31.47%*	*31.04%*	*27.73%*	*0.00%*
Net Profit	**1,052.85**	**730.86**	**1,171.05**	**1,936.29**	**2,015.00**	**2,143.14**	**2,896.39**	**4,126.84**
Net Margin	*4.23%*	*3.03%*	*3.78%*	*4.52%*	*3.97%*	*3.61%*	*4.21%*	*0.00%*

03 3-Statement Model

Balance Sheet

#	Balance Sheet							
	Equity Share Capital	647.77	647.77	647.77	648.26	650.73	650.73	651.96
	Reserves	10,431.97	11,535.94	13,029.87	15,430.44	18,047.09	20,777.02	23,812.08
	Borrowings	333.19	392.71	646.94	642.98	592.16	819.62	2,424.99
	Other Liabilities	663.23	1,078.63	1,146.40	1,382.84	1,882.50	2,065.41	2,635.23
	Total Liabilities	**12,076.16**	**13,655.05**	**15,470.98**	**18,104.52**	**21,172.48**	**24,312.78**	**29,524.26**
	Fixed Assets Net Block	5,948.03	7,008.80	9,260.02	11,340.48	13,415.00	16,206.46	20,090.31
	Capital Work in Progress	364.40	1,019.59	1,129.34	829.16	935.22	1,099.35	1,299.96
	Investments	14.68	2.95	5.94	202.20	106.67	3.26	4.01
	Other Assets	3,674.22	1,886.27	1,967.55	1,018.71	1,983.73	1,447.35	1,776.22
	Total Non Current Assets	10,001.33	9,917.61	12,362.85	13,390.55	16,440.62	18,756.42	23,170.50
	Receivables	19.55	43.58	66.89	62.16	166.37	153.79	149.34
	Inventory	1,947.40	2,248.28	2,742.66	3,243.48	3,927.31	5,044.37	5,900.64
	Cash & Bank	107.88	1,445.58	298.58	1,408.33	638.18	358.20	303.78
	Total Current Assets	2,074.83	3,737.44	3,108.13	4,713.97	4,731.86	5,556.36	6,353.76
	Total Assets	**12,076.16**	**13,655.05**	**15,470.98**	**18,104.52**	**21,172.48**	**24,312.78**	**29,524.26**

04 3-Statement Model

Cash Flow Statement

#	Cash Flow Statements							
	Operating Activities							
	Profit from operations	2,149.00	1,764.00	2,515.00	3,659.00	4,131.00	4,535.00	5,233.00
	Receivables	45.00	(24.00)	(23.00)	5.00	(104.00)	13.00	4.00
	Inventory	(339.00)	(301.00)	(494.00)	(501.00)	(684.00)	(1,117.00)	(856.00)
	Payables	(30.00)	145.00	11.00	165.00	231.00	86.00	267.00
	Other WC items	0.00	0.00	0.00	0.00	0.00	0.00	0.00
	Working capital changes	2.00	12.00	(3.00)	0.00	0.00	0.00	0.00
	Interest paid	(54.00)	41.00	(73.00)	12.00	(87.00)	(94.00)	(114.00)
	Direct taxes	(376.00)	(127.00)	(582.00)	(320.00)	(644.00)	(1,113.00)	(699.00)
	Exceptional CF items	(492.00)	(262.00)	(560.00)	(709.00)	(742.00)	(959.00)	(1,068.00)
	Cash From Operating Activities	905.00	1,248.00	791.00	2,311.00	2,101.00	1,351.00	2,767.00
	Investing Activities							
	Fixed assets purchased	(1,712.00)	(2,029.00)	(2,410.00)	(2,212.00)	(2,731.00)	(3,423.00)	(4,113.00)
	Fixed assets sold	6.00	2.00	21.00	5.00	9.00	6.00	0.00
	Investments purchased	0.00	0.00	0.00	(193.00)	(4,201.00)	(4,948.00)	(3,119.00)
	Investments sold	232.00	3.00	4.00	6.00	4,324.00	5,074.00	3,123.00
	Interest received	0.00	0.00	0.00	0.00	0.00	0.00	0.00
	Investment in group cos	12.00	129.00	43.00	39.00	262.00	103.00	44.00
	Redemp n Canc of Shares	0.00	0.00	0.00	0.00	0.00	0.00	0.00
	Acquisition of companies	0.00	0.00	0.00	0.00	0.00	0.00	0.00
	Inter corporate deposits	0.00	0.00	0.00	0.00	0.00	0.00	0.00
	Other investing items	0.00	0.00	0.00	0.00	0.00	0.00	0.00
	Cash From Investing Activities	(1,462.00)	(1,895.00)	(2,342.00)	(2,355.00)	(2,337.00)	(3,188.00)	(4,065.00)
	Financing Activities							
	Proceeds from shares	110.00	0.00	0.00	15.00	75.00	0.00	37.00
	Proceeds from debentures	300.00	0.00	0.00	0.00	0.00	0.00	0.00
	Proceeds from borrowings	(512.00)	(34.00)	0.00	0.00	0.00	0.00	0.00
	Repayment of borrowings	1,100.00	200.00	248.00	0.00	0.00	0.00	1,588.00
	Interest paid fin	(1,550.00)	(204.00)	(248.00)	0.00	0.00	0.00	(1,003.00)
	Financial liabilities	(68.00)	(44.00)	(54.00)	(67.00)	(58.00)	(69.00)	(141.00)
	Other financing items	(100.00)	(98.00)	(125.00)	(153.00)	(164.00)	(190.00)	(194.00)
	Cash From Financing Activities	(720.00)	(180.00)	(179.00)	(205.00)	(147.00)	(259.00)	287.00
	Net Cash Flow	**(1,277.00)**	**(827.00)**	**(1,730.00)**	**(249.00)**	**(383.00)**	**(2,096.00)**	**(1,011.00)**

05 Common Size Statement

Profit & Loss

#	Common Size P&L Statement-AVENUE SUPERMARTS LTD						
	Particular	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
	Sales	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
	Raw Material Cost	86.21%	86.38%	86.81%	86.10%	86.55%	87.05%	86.19%
	Change in Inventory	1.36%	1.25%	1.60%	1.17%	1.35%	1.88%	1.24%
	Power and Fuel	0.76%	0.72%	0.67%	0.73%	0.74%	0.75%	0.00%
	Other Mfr. Exp	2.60%	3.09%	2.60%	2.61%	2.61%	2.95%	0.00%
	Employee Cost	1.84%	2.23%	1.99%	1.75%	1.79%	1.97%	2.24%
	Selling and admin	0.27%	0.45%	0.46%	0.49%	0.54%	0.53%	0.00%
	Other Expenses	1.13%	1.15%	0.98%	0.99%	1.04%	1.07%	5.28%
	Other Income	0.24%	0.81%	0.37%	0.30%	0.28%	0.20%	0.11%
	Depreciation	1.51%	1.72%	1.61%	1.49%	1.44%	1.46%	1.51%
	Interest	0.28%	0.17%	0.17%	0.16%	0.11%	0.12%	0.21%
	Profit before tax	7.02%	6.14%	6.66%	7.14%	6.82%	6.19%	5.93%
	Tax	1.78%	1.59%	1.85%	1.59%	1.82%	1.63%	1.62%
	Net profit	5.23%	4.55%	4.82%	5.55%	4.99%	4.56%	4.32%
	Dividend Amount	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
	EBITDA	7.80%	6.51%	7.41%	7.76%	7.34%	6.82%	7.54%

06 Common Size Statement

Balance Sheet

#	Common Size Balance sheet Statement-AVENUE SUPERMARTS LTD						
	Particular	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
	Total Liabilities	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
	Equity Share Capital	5.36%	4.74%	4.19%	3.58%	3.07%	2.68%	2.21%
	Reserves	86.38%	84.48%	84.22%	85.23%	85.24%	85.46%	80.65%
	Borrowings	2.76%	2.88%	4.18%	3.55%	2.80%	3.37%	8.21%
	Other Liabilities	5.49%	7.90%	7.41%	7.64%	8.89%	8.50%	8.93%
	Total Assets	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
	Fixed Assets Net Block	49.25%	51.33%	59.85%	62.64%	63.36%	66.66%	68.05%
	Capital Work in Progress	3.02%	7.47%	7.30%	4.58%	4.42%	4.52%	4.40%
	Investments	0.12%	0.02%	0.04%	1.12%	0.50%	0.01%	0.01%
	Other Assets	47.61%	41.18%	32.81%	31.66%	31.72%	28.81%	27.54%
	Receivables	0.16%	0.32%	0.43%	0.34%	0.79%	0.63%	0.51%
	Inventory	16.13%	16.46%	17.73%	17.92%	18.55%	20.75%	19.99%
	Cash & Bank	0.89%	10.59%	1.93%	7.78%	3.01%	1.47%	1.03%

07 Ratio Analysis

Growth & Margins

Historical Financial Statement-SWIGGY LTD										
Years	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26	Trend	Mean	Median
SalesGrowth		-2.92%	28.30%	38.30%	18.56%	16.87%	15.94%		19.17%	17.71%
EBITDA Growth		-19.04%	46.09%	44.88%	12.18%	8.52%	28.17%		20.13%	20.17%
EBT Growth		-25.51%	56.31%	50.23%	12.31%	5.70%	28.95%		21.33%	20.63%
Net Profit Growth		-30.58%	60.23%	65.35%	4.06%	6.36%	35.15%		23.43%	20.75%
Dividend Growth		0.00%	0.00%	0.00%	0.00%	0.00%	0.00%		0.00%	0.00%
Gross Margin	9.20%	8.10%	8.85%	9.25%	8.92%	8.41%	12.82%		9.36%	8.88%
Operating Margin	7.80%	6.51%	7.41%	7.76%	7.34%	6.82%	7.54%		7.31%	7.37%
EBITDA Margin	7.80%	6.51%	7.41%	7.76%	7.34%	6.82%	7.54%		7.31%	7.37%
EBIT Margin	6.30%	4.79%	5.80%	6.27%	5.90%	5.35%	6.03%		5.78%	5.85%
EBT Margin	6.02%	4.62%	5.63%	6.11%	5.79%	5.24%	5.82%		5.60%	5.71%
Net Profit Margin	4.23%	3.03%	3.78%	4.52%	3.97%	3.61%	4.21%		3.91%	3.87%

08 Ratio Analysis

Efficiency & Leverage

SalesExpenses%Sales	1.40%	1.60%	1.44%	1.49%	1.58%	1.59%	5.28%	2.05%	1.58%
Depreciation%Sales	1.51%	1.72%	1.61%	1.49%	1.44%	1.46%	1.51%	1.53%	1.50%
OperatingIncome%Sales	6.30%	4.79%	5.80%	6.27%	5.90%	5.35%	6.03%	5.78%	5.85%
Return on Capital Employed	13.72%	9.20%	12.54%	16.06%	15.54%	14.28%	15.43%	13.82%	14.86%
Retained Earnings%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Return on Equity%	9.50%	6.00%	8.56%	12.04%	10.78%	10.00%	11.84%	9.82%	10.39%
Self Sustained Growth Rate	9.50%	6.00%	8.56%	12.04%	10.78%	10.00%	11.84%	9.82%	10.39%
Interest Coverage Ratio	22.65x	27.77x	33.40x	39.84x	51.58x	45.75x	29.21x	35.74x	36.62x
Debtor Turnover Ratio	1,272.13x	553.99x	463.09x	689.18x	305.28x	385.97x	460.83x	590.07x	461.96x
Creditor Turnover Ratio	37.50x	22.38x	27.02x	30.98x	26.98x	28.74x	26.12x	28.53x	27.00x
Inventory Turnover Ratio	12.77x	10.74x	11.29x	13.21x	12.93x	11.77x	11.66x	12.05x	11.72x
Fixed Assets Turnover Ratio	4.18x	3.44x	3.35x	3.78x	3.79x	3.66x	3.43x	3.66x	3.55x
Capital Turnover Ratio	2.24x	1.98x	2.26x	2.66x	2.72x	2.77x	2.81x	2.49x	2.69x
Debtor Days	0 days	1 days	1 days	1 days	1 days	1 days	1 days	1 days	1 days
Payable Days	10 days	16 days	14 days	12 days	14 days	13 days	14 days	13 days	14 days
Inventory Days	29 days	34 days	32 days	28 days	28 days	31 days	31 days	30 days	31 days
Cash Conversion Cycle	19 days	18 days	20 days	16 days	16 days	19 days	18 days	18 days	18 days
CFO/Sales	3.64%	5.17%	2.55%	5.39%	4.14%	2.28%	4.02%	3.88%	4.08%
CFO/Total Asset	7.49%	9.14%	5.11%	12.76%	9.92%	5.56%	9.37%	8.48%	9.26%
CFO/Total Debt	271.62%	317.79%	122.27%	359.42%	354.80%	164.83%	114.10%	243.55%	241.31%

09 Forecasting

Sales & EBITDA Projections

AVENUE SUPERMARTS LTD Forcaste-Sales			
Year Weight	Year	Sales	Sales Growth
1	2020A	24,870.20	
2	2021A	24,143.06	-2.92%
3	2022A	30,976.27	28.30%
4	2023A	42,839.56	38.30%
5	2024A	50,788.83	18.56%
6	2025A	59,358.05	16.87%
7	2026A	68,820.74	15.94%
8	2027E	74,841.55	8.75%
9	2028E	82,773.49	10.60%
10	2029E	90,705.42	9.58%

AVENUE SUPERMARTS LTD Forcaste-EBITDA			
Year Weight	Year	EBITDA	EBITDA Growth
1	2020A	1,940.07	
2	2021A	1,570.63	-19.04%
3	2022A	2,294.49	46.09%
4	2023A	3,324.15	44.88%
5	2024A	3,729.05	12.18%
6	2025A	4,046.76	8.52%
7	2026A	5,186.59	28.17%
8	2027E	5,459.73	5.27%
9	2028E	6,035.67	10.55%
10	2029E	6,611.62	9.54%

10 WACC Calculation

Weighted Average Cost of Capital

Weighted Average Cost of Capital

All figures are in INR unless stated otherwise

Peer Comps

Name of Company	Country	Total Debt	Total Equity	Tax Rate 1	Debt/ Equity	Debt/ Capital	Levered Beta 2	Unlevered Beta 3
Avenue Super.	India	2,424.99	652.25	30.00%	371.79%	78.80%	0.70	0.19
Vishal Mega Mart	India	1,987.98	4,676.38	30.00%	42.51%	29.83%	1.13	0.87
Average				30.00%	2.07	0.54	0.70	0.53
Median				30.00%	2.07	0.54	0.70	0.53

Cost of Debt

Pre Tax Cost of Debt	5.86%
Tax Rate	30%
Post Tax Cost of Debt	4.10%

Cost of Equity

Risk Free Rate	6.77%	*Taken from 10 yrs yield*
Equity Risk Premium	8.38%	
Levered Beta 4	0.97	
Cost of Equity	14.94%	

Capital Structure

		Current	Target
Total Debt	2,424.99	78.80%	54.32%
Market Capitalization	652.25	21.20%	45.68%
Total Capital	3,077.24	100.00%	100.00%
Debt/Equity		3.72	1.19

Levered Beta

Comps Median Unlevered Beta	0.53
Target Debt/Equity	118.90%
Tax Rate	30.00%
Levered Beta	0.97

Weighted Average Cost of Capital

	Total Cost	Total Weight
Debt	4.10%	54.32%
Equity	14.94%	45.68%
Weighted Average Cost of Capital		**9.05%**

Note:
1. Tax Rate Consider as Marginal Tax Rate for the company
2. Levered Beta is based on 5 year montly data

11 Intrinsic Growth

ROIC, Reinvestment & Growth Rate

	Calculation of ROIC	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
	Current Assets							
	Inventories	1,947.00	2,248.00	2,743.00	3,243.00	3,927.00	5,044.00	5,901.00
	Trade receivables	20.00	44.00	67.00	62.00	166.00	154.00	149.00
	Loans n Advances	108.00	1,446.00	299.00	1,408.00	638.00	358.00	304.00
	Other asset items	101.00	81.00	109.00	97.00	105.00	126.00	197.00
	Total Current Assets	**2,176.00**	**3,819.00**	**3,218.00**	**4,810.00**	**4,836.00**	**5,682.00**	**6,551.00**
	Current Liabilites							
	Trade Payables	433.00	578.00	589.00	754.00	985.00	1,071.00	1,338.00
	Other liability items	229.00	500.00	557.00	629.00	898.00	996.00	1,299.00
	Total Current Liabilities	**662.00**	**1,078.00**	**1,146.00**	**1,383.00**	**1,883.00**	**2,067.00**	**2,637.00**
#	**Net Working Capital**	**1,514.00**	**2,741.00**	**2,072.00**	**3,427.00**	**2,953.00**	**3,615.00**	**3,914.00**
	Non current Asset							
	Land	2,740.00	3,483.00	4,527.00	5,519.00	6,904.00	8,595.00	10,432.00
	Building	3,139.00	3,649.00	4,938.00	6,201.00	7,062.00	16,206.00	10,391.00
	Plant Machinery	272.00	352.00	491.00	656.00	870.00	1,141.00	1,446.00
	Equipments	39.00	50.00	73.00	85.00	97.00	115.00	140.00
	Computers	95.00	119.00	153.00	190.00	219.00	276.00	372.00
	Furniture n fittings	476.00	581.00	772.00	968.00	1,205.00	1,515.00	1,954.00
	Vehicles	4.00	4.00	3.00	15.00	17.00	6.00	8.00
	Intangible Assets	78.00	78.00	78.00	78.00	78.00	78.00	78.00
	Other fixed assets	82.00	81.00	91.00	105.00	119.00	124.00	140.00
#	**Gross Block**	**6,927.00**	**8,396.00**	**11,127.00**	**13,816.00**	**16,571.00**	**20,106.00**	**24,960.00**
#	**Invested Capital**	**8,441.00**	**11,137.00**	**13,199.00**	**17,243.00**	**19,524.00**	**23,721.00**	**28,874.00**
	EBIT	**1,565.66**	**1,156.47**	**1,796.41**	**2,685.28**	**2,998.29**	**3,177.24**	**4,149.57**
#	**ROIC**	**18.5%**	**10.4%**	**13.6%**	**15.6%**	**15.4%**	**13.4%**	**14.4%**

Calculation of Reinvestment Rate	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net Capex		1,435.18	2,665.38	2,578.54	2,713.39	3,522.22	4,753.37
Change in working Capital		1,227.00	(669.00)	1,355.00	(474.00)	662.00	299.00
EBIT	1,565.66	1,156.47	1,796.41	2,685.28	2,998.29	3,177.24	4,149.57
Marginal Tax Rate	25%	25%	25%	25%	25%	25%	25%
EBIT(1-TR)	1,174.25	867.35	1,347.31	2,013.96	2,248.72	2,382.93	3,112.18
Reinvestment		2,662.18	1,996.38	3,933.54	2,239.39	4,184.22	5,052.37
Reinvestment Rate		**306.9%**	**148.2%**	**195.3%**	**99.6%**	**175.6%**	**162.3%**
					5 year Average		**181.3%**
					5 year Median		**169.0%**

Net Cap

Calculation of Growth Rate	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Reinvestment Rate		3.07	1.48	1.95	1.00	1.76	1.62
ROIC		0.10	0.14	0.16	0.15	0.13	0.14
Intrinsic Growth		**31.9%**	**20.2%**	**30.4%**	**15.3%**	**23.5%**	**23.3%**

Forward looking Reinvestment Rate			
		Average	24.1%
Normalised ROIC	14.5%		
Forecast Growth	6.0%		
Terminal Growth	6.5%		
Reinvestment Rate (Based on expected Grow	41.5%		
Reinvestment Rate (Based on TerminalGrowt	44.9%		

12 DCF Valuation

PV of FCFF, Terminal Value & Sensitivity

Calculation of PV of FCFF	Mar/26A	Mar/27E	Mar/28E	Mar/29E	Mar/30E	Mar/31E
EBIT	4,149.57	4,398.54	4,662.46	4,942.20	5,238.74	5,553.06
Marginal Tax Rate	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%
EBIT(1-TR)	3,112.18	3,298.91	3,496.84	3,706.65	3,929.05	4,164.80
Less: Reinvesment Rate	41.49%	41.49%	41.49%	41.49%	41.49%	44.95%
Free Cash Flow to Firm	1,820.92	1,930.18	2,045.99	2,168.75	2,298.87	2,292.80
Mid Year Convention		0.5	1.5	2.5	3.5	4.5
Discounting Factor		0.958	0.878	0.805	0.738	0.677
PV of FCFF		**1848.36**	**1796.67**	**1746.43**	**1697.59**	**1552.61**

Expected Growth	6.0%
Terminal Growth	6.5%
WACC	9.05%

Calculation of Terminal Value	
FCFF(N+1)	2441.84
WACC	9.05%
Terminal Growth Rate	6.5%
Terminal Value	**95781.80**

Calculation of Equity Value	
PV of FCFF	8641.66
PV of Terminal Value	64860.26
Value of Operating Asset	**73501.92**
Add: Cash	358.2
Less: Debt	965
Value of Equity	72895.12
No. of Share	65.22
Equity Value per share	**1117.60**
Share Price	250.00
Discount/Premium	0.22x

Sensitivity Analysis Of Value of Operating Assest					
73501.92	7%	9%	11%	13%	15%
2.50%	45,386.79	34,080.59	28,094.96	24,389.57	21,869.90
4.50%	74,782.89	45,386.79	34,080.59	28,094.96	24,389.57
6.50%	339,347.81	74,782.89	45,386.79	34,080.59	28,094.96
8.50%	(101,593.73)	339,347.81	74,782.89	45,386.79	34,080.59
10.50%	(38,602.08)	(101,593.73)	339,347.81	74,782.89	45,386.79
12.50%	(21,422.54)	(38,602.08)	(101,593.73)	339,347.81	74,782.89

Sensitivity Analysis Of Share Price					
1117.60	7%	9%	11%	13%	15%
2.50%	686.55	513.21	421.44	364.63	326.00
4.50%	1,137.24	686.55	513.21	421.44	364.63
6.50%	5,193.45	1,137.24	686.55	513.21	421.44
8.50%	(1,566.90)	5,193.45	1,137.24	686.55	513.21
10.50%	(601.14)	(1,566.90)	5,193.45	1,137.24	686.55
12.50%	(337.75)	(601.14)	(1,566.90)	5,193.45	1,137.24

13 Relative Valuation

Comparable Company Analysis

Comparable Company Valuation

Amt. In Crores

Company	Ticker	Market Data					Financials			Valuation		
		Share Price	Share O/S	Equity Value	Net Debt	Enterprise Value	Revenue	EBITDA	Net Income	EV/Revenue	EV/EBITDA	P/E
Avenue Super.		4,018.80	65.22	262,106.14	2,121.21	264,227.35	71,255.57	5,465.30	3,057.49	3.71x	48.35x	85.73x
Vishal Mega Mart		108.04	468.43	50,609.18	1,393.09	52,002.27	13,493.01	2,071.18	891.92	3.85x	25.11x	56.74x
V-Mart Retail		724.65	7.95	5,760.97	938.06	6,699.03	3,992.95	562.61	137.61	1.68x	11.91x	41.86x
Electronics Mart		129.64	38.47	4,987.25	1,947.23	6,934.48	7,183.26	446.08	107.14	0.97x	15.55x	46.55x
Shoppers Stop		377.75	11.02	4,162.81	3,303.97	7,466.78	5,173.64	807.61	(34.59)	1.44x	9.25x	-120.35x
Keto Motors		227.65	7.04	1,602.66	37.54	1,640.20	2.13	0.59	(0.18)	770.05x	2779.95x	-8903.64x
Patel Retail		223.44	3.34	746.29	139.43	885.72	1,048.33	83.03	39.05	0.84x	10.67x	19.11x
High										770.05x	2779.95x	85.73x
Q3										3.78x	36.73x	51.65x
Average										**111.79x**	**414.40x**	**-1253.43x**
Median										**1.68x**	**15.55x**	**41.86x**
Q1										1.20x	11.29x	-50.62x
Low										0.84x	9.25x	-8903.64x

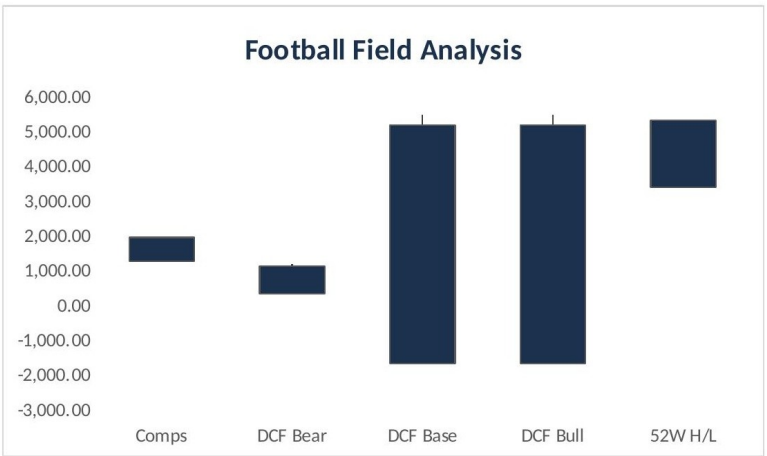
Comparable Company Valuation	EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value	119,546.46	84,960.09	130,121.36
Net Debt	2,121.21	2,121.21	2,121.21
Implied Market Value	117,425.25	82,838.88	128,000.15
Share Outstanding	65.22	65.22	65.22
Implied Value Per Share	**1,800.45**	**1,270.15**	**1,962.59**

14 Football Field Analysis

Valuation Range Summary

Football Field Analysis

	Open Low	Low	Open High	High
Comps	1,270.15	1,270.15	1,962.59	1,962.59
DCF Bear	332.80	326.00	1,190.94	1,137.24
DCF Base	(1,669.54)	(1,566.90)	5,481.67	5,193.45
DCF Bull	(1,669.54)	(1,566.90)	5,481.67	5,193.45
52W H/L	3,403.95	3,403.95	5,320.55	5,320.55



15 VaR Calculation

Historical Approach

Calculation of Value At Risk- Dmart(Historical)	
Mean	0.10%
SD	1.97%
Min	-11.09%
Max	13.06%
CMP	4018.80

Percentile	Confidenc	VAR %	Stock Price	VAR (INR)
5.00%	95.00%	-2.90%	4135.19	-116.39
1.00%	99.00%	-4.96%	4218.27	-199.47
0.50%	99.50%	-5.35%	4233.68	-214.88

15 VaR Calculation

Monte Carlo Simulation

Calculation of Value At Risk- Dmart(Stimulation)

Historical Appoarch	
Mean	0.10%
SD	1.97%
Min	-11.09%
Max	13.06%
CMP	4018.80

Monte Carlo Appoarch	
Mean	0.11%
SD	1.99%
Min	-7.36%
Max	7.36%
CMP	4018.80

Percentile	Confidence	VAR %	Stock Price	VAR (INR)
5.00%	95.00%	-3.14%	4144.82	-126.02
1.00%	99.00%	-4.51%	4200.19	-181.39

16 Future Prospects

From the recent concall — density, penetration and the road ahead

1 Store Expansion

264 → 442 stores, with growth concentrated in markets DMart already serves rather than new geography.

2 Cluster Expansion

“Expansion is becoming a penetration strategy, not just a geographical expansion strategy.” Density → Penetration → Efficiency.

3 Mature Metro Stores

“Some of our metro stores, which mature, which become saturated, sometimes require another store nearby... to reduce the pressure on those stores.”

4 Why Not Tier-2/3 First?

Lower quick-commerce competition alone isn't seen as enough to make a market attractive — the focus stays on strengthening existing clusters first.

5 DMart Ready

Online, 11 cities, larger baskets, under 6-hour delivery — built around a dense network, not an instant-delivery play. Currently operating at a PBT loss.

Quick Commerce, Margins & The Road Ahead

DMART vs QUICK COMMERCE — A DIFFERENT RETAIL LOGIC

Quick Commerce	DMart
Speed → Small Basket → Convenience	Value → Large Basket → Planned Delivery

Not framed as "DMart is losing to quick commerce" — the notes describe a strategic difference in retail model, not a competitive loss.

GROWTH HAS A COST

- Gross margins have stayed broadly stable around 14–15%, even through rapid expansion.
- Employee costs are expected to rise due to strategy and legal changes.
- Borrowing is expected to increase by around ₹2,000 crore by the end of 2026, linked to capex requirements, per the CFO's comments in the notes.

> *"Can DMart continue expanding while protecting the economics that made its model successful?"*

KEY TAKEAWAYS

- Store expansion does not automatically mean growth — location, saturation and store throughput matter.
- A mature store can create the case for another store nearby: expansion can be about relieving pressure, not just entering a new market.
- DMart appears to be balancing expansion with margin discipline — growth has to be supported by the economics of the business.
- The next phase looks less about store count and more about penetration, density and efficiency.

THE BIGGER PICTURE

“Perhaps the interesting question is no longer ‘How many stores can DMart open?’ but ‘Where can the next store create the most value?’”